

which were particularly favored in the great speculation of 1928–1929 and in the markets of ensuing years. They are characterized by a strong financial position, by presumably excellent prospects and in most cases by relatively stable or growing earnings in the past. *The market price* of the shares, however, was higher than would be justified by their average earnings. In fact the profits of the *best* year in the 1929–1938 decade were less than 8% of the

**Group C: Common Stocks Meeting Investment Tests
in December 1938 from the Quantitative Standpoint**

Item	Group C		
	Adams-Millis	American Safety Razor	J. J. Newberry
Amount earned per share of common:			
1938	\$3.21	\$1.48	\$4.05
1937	2.77	2.47	5.27
1936	2.55	2.70	6.03
1935	2.93	2.42	4.94
1934	3.41	2.03	5.38
1933	2.63	1.40	3.06
1932	1.03	1.14	1.07
1931	4.72	1.58	1.73
1930	4.83	2.50	2.27
1929	4.83	2.57	3.15
10-yr. average	\$3.29	\$2.03	\$3.70
5-yr. average (1934–1938)	\$2.97	\$2.22	\$5.13
Bonds	None	None	\$5,587,000
Pfd. stock	None	None	51,000 sh. @ 106 \$5,405,000
Common stock	156,000 sh. @ 21 \$3,280,000	524,000 sh. @ 14 ⁷ / ₈ \$7,800,000	380,000 sh. @ 34 ¹ / ₂ \$13,110,000
Total capitalization	\$3,280,000	\$7,800,000	\$24,102,000
Net tangible assets, 12/31/38	\$3,320,000	\$6,484,000	\$25,551,000
Net current assets, 12/31/38	\$926,000	\$3,649,000	\$8,745,000
Average earnings on common-stock price, 1929–1938	15.7%	13.7%	10.7%
Maximum earnings on common-stock price, 1929–1938	23.0%	18.2%	17.5%
Minimum earnings on common-stock price, 1929–1938	4.9%	7.7%	3.1%
Average earnings on common-stock price, 1934–1938	14.1%	14.9%	14.9%